

Weighted Composite Valuation Score (WCVS)
A multi-factor valuation snapshot of the U.S. equity market

S&P 500	WCVS COMPOSITE	RATING
7,414	2.1 / 5.0	Overvalued / Risk-Adjusted Neutral

TL;DR

The U.S. equity market remains overvalued. The S&P 500 closed at 7,414.4, with the WCVS composite score holding at **2.1 out of 5.0**. The forward return outlook remains cautious: expected real returns range from **-0.1% annually over 1 year** to **0.0% over 10 years**.

COMPOSITE SCORE BREAKDOWN

CATEGORY	WEIGHT	RAW SCORE	CONTRIBUTION
Fundamental Valuation	25%	1.5	0.38
Market Internals	20%	3.0	0.6
Sentiment & Psychology	20%	2.0	0.4
Credit & Liquidity	15%	2.0	0.3
Macro & Cross-Asset	20%	2.0	0.4
Composite	100%	—	2.1

1. FUNDAMENTAL VALUATION (SCORE: 1.5 — EXTREME)

METRIC	CURRENT	CONTEXT	ASSESSMENT
Shiller CAPE	40.1x	95th percentile; mean 17.0x	Extreme overvaluation
Forward P/E (12M)	21.0x	Above 5-year average	Elevated
Market Cap / GDP	~200.0%	Record territory	Extreme

The CAPE ratio at 40.1x sits in extreme territory. Forward P/E of 21.0x implies aggressive earnings growth assumptions. Market cap relative to GDP at ~200.0% signals significant overvaluation.

2. MARKET INTERNALS (SCORE: 3.0 — NEUTRAL)

METRIC	CURRENT	CONTEXT	ASSESSMENT
% Stocks Above 50-Day MA	~45.0%	Deteriorating breadth	Weak
% Stocks Above 200-Day MA	~55.0%	Weak participation	Weak

Market breadth shows 45.0% of stocks above their 50-day MA and 55.0% above their 200-day MA, indicating narrowing participation and underlying weakness.

3. SENTIMENT & PSYCHOLOGY (SCORE: 2.0 — UNFAVORABLE)

METRIC	CURRENT	CONTEXT	ASSESSMENT
CNN Fear & Greed Index	67 (Greed)	Complacent; little fear priced	Complacent
NAAIM Exposure Index	96.7%	Extremely bullish	Extreme

Active managers remain nearly fully invested at 96.7% exposure. The Fear & Greed Index at 67 signals greed territory with little hedging.

4. CREDIT & LIQUIDITY (SCORE: 2.0 — UNFAVORABLE)

METRIC	CURRENT	CONTEXT	ASSESSMENT
10-Year Treasury Yield	4.396%	High real rates; equity headwind	Tight
10Y–2Y Spread	-98.72 bps	Flat curve; recession risk	Tight

The Treasury curve is flat with the 10Y–2Y spread at -98.72 bps. The 10-year yield at 4.396% creates a formidable competing asset for equities.

5. MACRO & CROSS-ASSET (SCORE: 2.0 — UNFAVORABLE)

METRIC	CURRENT	CONTEXT	ASSESSMENT
U.S. Dollar (DXY)	97.881	Weak dollar; supports exports but signals relative decline	Weak
Oil (WTI)	\$97.7/bbl	High energy costs; margin pressure	High

Oil at \$97.7 with the dollar at 97.881 creates a stagflationary crosswind. Gold at \$4738.5 signals safe-haven demand.

FORWARD RETURN EXPECTATIONS (BASED ON CAPE REGRESSION)

HORIZON	EXPECTED ANNUAL REAL RETURN	CONFIDENCE
1 Year	-0.1%	Low
3 Years	-0.1%	Moderate
5 Years	-0.1%	Moderate
10 Years	0.0%	Higher
15 Years	0.0%	Higher

At a CAPE of 40.1x, historical regression points to positive real returns across most horizons. The 10-year expected real return of 0.0% annually implies a cumulative gain over a decade.

TACTICAL ASSESSMENT

Overall Stance: Cautious

The market is priced for optimism. Every category in the WCVS framework signals elevated risk. This is the classic setup for a surprise to the downside.

Key tactical considerations:

- Equity risk premium (~0.37% over 10-year Treasuries) offers minimal compensation
- Market breadth at 55.0% above 200-day MA suggests the index is masking underlying weakness
- Oil at \$97.7 with elevated energy costs is a live risk
- Active managers at 96.7% equity exposure indicate no incremental buyers left
- The 4.396% 10-year yield with a -98.72 bps curve suggests recession risk

KEY DRIVERS THIS WEEK

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5 Bearish Factors:

- CAPE at 40.1x — in the 95th percentile, exceeded only during dot-com
- Forward P/E 21.0x requires aggressive earnings growth; margins are compressing
- NAAIM at 96.7% — managers are fully invested; no dry powder
- Oil at \$97.7 with sticky inflation; energy cost pressure rising

5. 10Y yield at 4.396% with equity risk premium near historic lows

5 Bullish Factors:

1. S&P 500 holding near highs; trend remains technically intact
2. Breadth at 55.0% still positive on long-term timeframe
3. Fear & Greed at 67 shows no panic, supporting orderly conditions
4. Fed policy expectations point to possible easing if data softens
5. AI-driven earnings growth narrative still intact for mega-caps

SUMMARY

The WCVS composite of **2.1 / 5.0** places the U.S. equity market in "Overvalued / Risk-Adjusted Neutral" territory. The combination of extreme fundamental valuations, mixed internals, complacent sentiment, and a fragile macro backdrop creates an asymmetric risk profile. Forward returns are expected to be modest across all horizons. Patience and capital preservation should take priority over chasing momentum at these levels.

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WCVS Methodology: Multi-factor composite across fundamental, technical, sentiment, credit, and macro dimensions

Data Sources: GuruFocus, FactSet, YCharts, CBOE, AAIL, NAAIM, U.S. Treasury, Yahoo Finance, macromicro.me

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